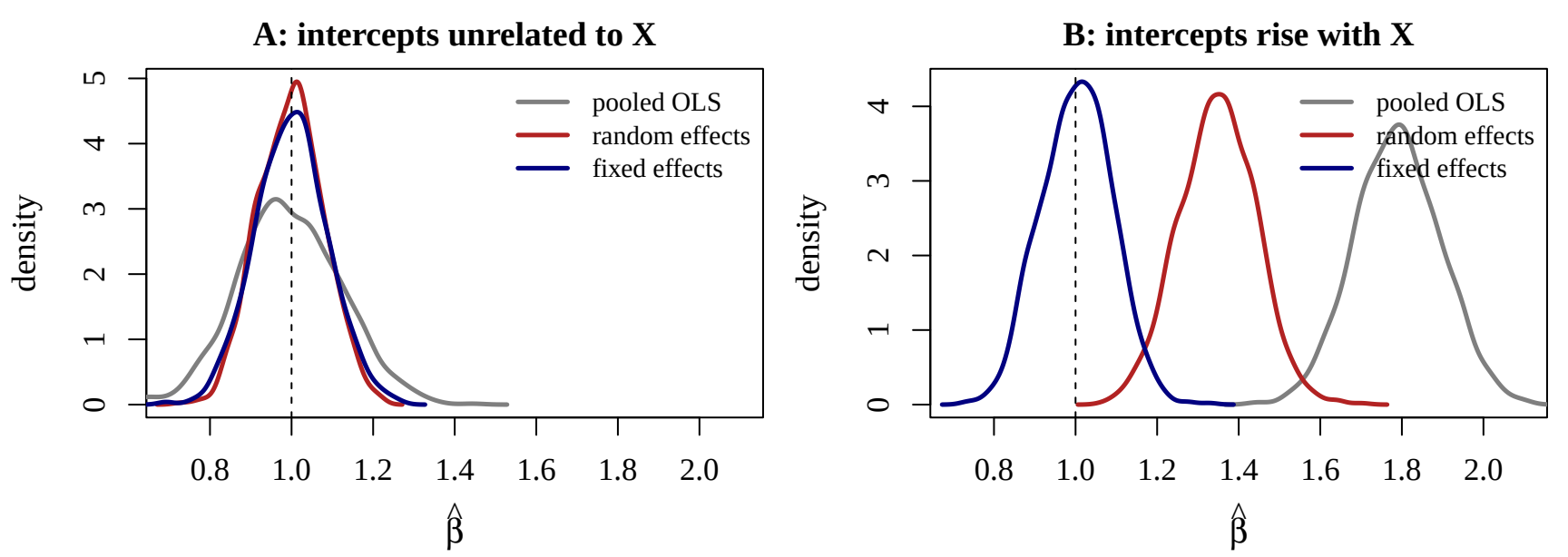
A: intercepts unrelated to X
density
0
1
2
3
4
5
pooled OLS
random effects
fixed effects
0.8
1.0
1.2
1.4
1.6
1.8
2.0
β̂
B: intercepts rise with X
density
0
1
2
3
4
pooled OLS
random effects
fixed effects
0.8
1.0
1.2
1.4
1.6
1.8
2.0
β̂